

ECO362 Quiz Solutions 2023

December 14, 2023

Quiz 1:

1. 7 %
2. cannot tell

Quiz 2:

1. Whether Instacart stock rises after IPO.
2. False

Quiz 3:

1. True
2. Sell stocks and buy riskless bonds

Quiz 4:

1. Negatively correlated
2. False

Quiz 5:

1. Walmart
2. Ford

Quiz 6:

1. All 3 answers are correct.
2. It has a high market beta.

Quiz 7:

1. high SMB beta and high HML beta
2. The return on the HML portfolio is positive.

Quiz 8:

1. Small-cap growth
2. Large-cap value

Quiz 9:

1. False
2. True

Quiz 10:

1. unknown based on information given
2. False

Quiz 11:

1. True
2. receives floating and pays fixed

Quiz 12:

1. True
2. Volatility of the underlying stock.

Quiz 13:

1. True
2. 1.2